Policy on Dealing with Frequent Dishonour of Cheques & ECS/NACH Mandates

April 2026

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Version Control

Version	Policy Owner Department	Details of Board Sub-committee / HOD approval		Details of Board / Committee approval	
		Sub-committee/HOD	Date of approval	Board/Committee	Date of approval
1.0	CPU	*CSCB*	*16th June 2025*	*Board*	*July 2025*
2.0	CPU	CSCB	12th March 2026	Committee	March 2026
3.0	CPU	*Board*	24th April 2026	*Board*	April 2026

(Details of the various versions since inception of the Policy to be chronologically mentioned here)

1. Preamble/ Introduction

In terms of RBI Master Circular RBI/2015-16/59 DBR No.Leg.BC. 21/09.07.006/2015-16 on Customer Service in Banks 2015 updated from time to time, banks are required to have a Board approved policy for dealing with frequent Dishonour of Cheques of value less than INR1 crore and greater than 1 crore. The policy should also deal with matters relating to frequent dishonour of ECS/NACH mandates. Accordingly, a policy was framed on dealing with frequent Dishonour of Cheques/ECS of value less than and greater than INR 1 crore which was duly approved by the Board in July 2025.

2. Important definitions - NA

3. Objective

The policy deals with action to be taken on those accounts where there is frequent Dishonour of cheques / ECS beyond the stipulated thresholds. Accounts where instances cross the thresholds are cautioned for regularizing their accounts and to ensure that such customers do not misuse the cheque drawing facility, cheque book facility is disabled.

4. References to Regulations

In terms of RBI Master Circular RBI/2015-16/59 DBR No.Leg.BC. 21/09.07.006/2015-16 on Customer Service in Banks 2015 updated from time-to-time banks are required to have a Board approved policy for dealing with frequent dishonour of cheques of value greater than & less than INR1 crore. Hitherto, in terms of RBI Circular No. RBI/DOR/2025-26/170 DOR.MCS.REC.No.89/01-01-032/2025-26 dated 28th November 2025 on Responsible Business Conduct, it has been left to the discretion of Banks to deal with frequent Dishonour of cheques and ECS/NACH mandates, however, banks must ensure that such customers do not misuse cheque drawing facility. This must be documented vide board approved policy.

5. Applicability

The policy document is applicable to all CA & SA accounts where Cheque & ECS facility is provided.

6. Communication of the Policy

i. The policy will be available to all the staff for awareness/adherence and same will also be hosted on the Bank's website.

7. Details of the Policy

Dealing with Frequent Dishonour of Cheques / ECS NACH Mandates

a) If there are 3 or more instances of Cheque bounce or ECS return in a financial year irrespective of value

Action taken - a cautionary advice would be sent out to the customer with instructions that Cheques/ECS should be issued only after ensuring adequate funding in the account and to ensure that financial discipline is adhered to

b) If there are 4 or more instances of Cheque bounce in a financial year

Action taken – Disable cheque book facility to ensure that fresh cheque book is **NOT** to be issued on such accounts

c) If there are 5 or more instances of Cheque bounce or ECS return in a financial year (only for value **greater than 1 crore**)

Action taken – account closure notice to be sent to such customers intimating them about the closure of the account after 30 days. If the customer does not wish to

have the account closed, he / she may contact the branch within the stipulated time within 30 days of the letter sent

- It would be the responsibility of the Sponsor Bank (Branch) (refer to the bank/branch which had agreed to act as the agent of the User company, utility-companies, insurance/corporations/Collection Service Provider/ Govt. departments, or any institution receiving/collecting payments from many branches/ credits banker etc.) to advise the User regarding failed ECS debit.

- In case the customer is enjoying credit facilities with our Bank / multiple / consortium Banks, such instances of cheque returns would be handled by the respective business vertical.

Exclusions

In respect of advances accounts such as cash credit account, overdraft account, instances of cheque bounce for financial reasons are already factored into the credit and fraud Early Warning Signals (EWS) along with a comprehensive set of triggers which allows for a holistic assessment of the borrower. The EWS alerts are responded by respective segment Coverage / Sales teams and reviewed by respective segment Credit team to arrive at required actions from both credit and operational perspective. Hence, this Policy will not be applicable for advances accounts.

Timelines

The activities such as sending cautionary communication, disabling cheque book facility & closure of accounts (where applicable) with prior notice would be duly completed once a quarter. For example – for cases identified in the previous quarter i.e., Jan to Mar, the above activities will be completed by 15th of May

Reporting

A quarterly report of accounts having high incidents of Cheque/ECS returns shall be put to President (Branch Banking) and President (Retail Operations), for review.

Additionally, data of accounts with 1 or more instance of cheque bounce for value greater than 1 crore will be reported to Head of Branch Banking

General Matters

For adducing evidence to provide the fact of dishonour of cheque, on behalf of a complainant (i.e. payee / holder of a dishonoured cheque) in any proceeding relating to dishonoured cheque before a court, consumer forum or any other competent authority, full co-operation is to be extended to the customer and documentary proof of the fact of dishonour of cheques should be made available.

As per Master direction on Customer service, Procedure thereof 15.1 Returning dishonoured cheques (i) Banks are required to implement the recommendation of the Goiporia Committee that dishonoured instruments are returned / despatched to the customer promptly without delay, in any case within 24 hours.

8. Governance Structure - Roles and Responsibilities of Board of Directors/ Senior Management

The position of Dishonoured Cheques / ECS irrespective of their value shall be placed before Audit Committee of the Board of Directors (ACB) on quarterly basis.

9. Delegation of Power -NA

10. Reporting / Monitoring requirements

Internal Reporting Requirement

A quarterly report of Dishonoured Cheques / ECS irrespective of their value shall be put to President (Branch Banking) and President (Retail Operations), for review.

Regulatory Reporting Requirement (If mandated by the Regulation)

The position of Dishonoured Cheques / ECS irrespective of their value shall be placed before Audit Committee of the Board of Directors (ACB) on quarterly basis.

11. Review of the Policy

The Policy will be effective from the date of the approval of the Board and would be aligned to the amendments in accordance with regulations, circulars, notifications, etc. as may be issued by regulatory authorities from time to time. In case of any inconsistency of the provisions of this Policy with any amendments, circulars, clarifications issued by relevant authorities, then such amendments, circulars, clarifications shall prevail upon the provisions of this policy.

This policy shall be reviewed by the Board on annual basis subject to any regulatory/statutory amendment requiring an earlier review.

Date: April 2026